

**Segment 2 : Strategic Analysis, and Strategy
Formulation**

Topic 1 : Environmental Analysis

Topic 2 : Fundamentals of Business

Topic 3 : Strategic Management Model

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1.1 Introduction

Strategic analysis is a process conducted by businesses to define future actions to meet the needs of the business. By conducting strategic analysis, business analysts study the business's environment in which it works and define the needs, and recommend specific changes required for business growth.

While defining the needs of the business, the business analyst works on strategic analysis so that the persons involved in the business have better information when deciding to address this need. The strategic analysis addresses the changes required to meet business needs and provides any new information required to make those strategic adjustments.

The method chosen to conduct strategic analysis depends on the changes happening in the business environment. A business analyst can develop a clear strategy in advance if they are well-defined and produce unpredictable results. If the change is unclear and has unintended consequences, the strategy will need to be developed by focusing on risks, testing, and trying to reach a course that will provide the best possible results.

Learning Objectives:

After studying this topic, you will be able to:

- Describe the Strategic Management Model
- Understand Environmental Assessment and Scanning Techniques
- Explain the analysis of strategies and their significance

1.2 Strategy Analysis

Strategic analysis refers to the process of doing research in a company and its work environment to develop a strategy. The definition of strategic analysis may differ from an academic or business perspective. Strategic analysis can be defined as the process of researching the business environment of an organisation in which the business is conducted. Strategic analysis is required to carry out strategic planning and organisational efficiency. The company's goals or objectives can be achieved efficiently with the right strategic planning. To succeed in this competitive world, business organisations occasionally conduct strategic analysis to determine which components need improvement and which areas are working well and try to keep track of external factors. For a business to be successful, it is important to identify how to bring about a positive change, better manage the value chain, and identify the business's strengths and weaknesses.

Strategic analysis serves as an analytical tool for organisations with a clear set of goals and activities. All highly successful organisations have years of experience in strategic analysis and planning at various stages of operations.

Strategic analysis is a long-term investment that includes systematic and continuous planning. Organisations should also conduct competitive analysis and look at external factors when conducting a strategic analysis. This will help them stay afloat in the market and gain a competitive advantage. One of the most important factors in the strategic analysis is anticipating future events and drawing up replacement strategies if a plan does not work as expected. Such strategic decisions are part of an internal analysis and give any organisation a clear picture.

In other words, strategic analysis is the process of researching the environment of the organisation in which it operates. Strategic analysis uses a less complex approach to achieve a goal. This process includes some common features, namely:

- Evaluation and identification of information relevant to the business plan.
- A description of the company's external and internal environment.
- Implementation of other popular analytical methods such as ETOP analysis and PEST analysis.

Organisations can obtain a real-time analysis of strategies designed to allow managers to make informed decisions to manage their business operations better. It assists managers in strengthening and gaining a competitive position while providing alternative strategies.

1.3 Importance of Strategic Analysis

Strategic analysis is essential for a company to achieve its vision and mission. It is important for every successful organisation. Strategic analysis provides a guideline to the organisation at various stages. Strategic analysis is a long-term process that involves continuous and systematic planning and investment of time, money, and resources.

It is important for organisations to be aware of their competitors and thus be able to define a strategy that will help them become an unbeatable player in that market. One of the most important tasks in the strategic analysis is predicting future events and finding intervention strategies whenever required.

1.4 Environment

The business environment can be defined as the total surroundings with direct or indirect control over the business functions. It includes customers, competitors, suppliers, government, and the social, political, legal, and technological elements etc.

1.4.1 Concept of Environment

Developing organisational mission and objectives include environmental analysis and measurement. Managers must analyse the internal and external environment to decide which policies and activities they can adopt and the strategic options to choose. Therefore, in mutating a strategy, the acting general manager makes decisions based on environmental factors.

Several factors affect the working of an organisation. The forces, conditions, situations, events, and relationships over which the organisation has control are collectively called the environment of the organisation.

In general, the environment can be divided into three sections:

- External Environment
- Operating Environment
- Internal Environment

External Environment: External environment refers to the outside of the organisation. This environment has a direct impact on the business; there are two types of external environment: micro and macro.

Microenvironment: It refers to the environment, including all the components of an organisation which have a direct impact. These components, such as Customers, Competitors, Employees, Suppliers, Shareholders, Media, and social media, directly control the organisation's business performance. Small environmental factors are more closely linked to the company than larger factors.

Macro environment: The macro environment is also known as a natural and remote environment. Macro features are usually less manageable than smaller natural features. When big things are out of control, a company's success depends on its adaptability to the environment. The macro-environment, or the general environment (remote area), consists of the country's economic, social, political, and legal systems.

- **Operating Environment:** It includes competitors, markets, customers, regulatory bodies, and stakeholders. It refers to the particular external stakeholders with whom the business has taken place.
- **Internal environment:** Internal environment refers to the components/factors within the organisation and has a direct impact on the business. These internal factors include the conditions, situations, events, and relationships of the organisation. Internal environment may alter or modify such factors as its staff, employees, managers, unions, board directors, physical properties, and organisational procedures.

1.4.2 Nature of Environment

Strategic management sets the business's overall direction, ensuring it survives in the face of external environmental challenges. A business

environment includes all internal and external factors that may affect the whole organisation or a part of it. External conditions have a significant impact on the performance of small firms.

The business environment is constantly changing in different ways. Therefore, the management must be aware of and respond to these changes. Note that the nature of the environment is both complex and dynamic.

Complexity: The environment contains a number of elements and forces that interact with each other. The larger the number of environmental changes, the higher the degree of complexity. The range of environmental forces and their heterogeneity has increased since globalisation.

Dynamism: The environment is dynamic as it changes continuously. The rate of environmental change is fast and unpredictable. When the rate of change is high and variable, the environment becomes volatile.

1.4.3 Factors Affecting Environmental Appraisal

Environmental appraisal is required to assess business opportunities and risks. Environment appraisal is analysing all aspects of business areas. There are many factors in the environment, but only some of them are relevant to the organisation. Only those environmental factors that contribute to the organisation's performance are considered here. Selection of environmental factors also depends on the following factors:

- Organisation - related
- Strategist - related
- Environment-related

- **Organisation-Related:** The type, age, size, competitiveness, complexity, etc., of an organisation contributes to environmental analysis.

For example, new, large, and weak organisations need more data than older, smaller, and more powerful organisations. Similarly, organisations that work with multiple products or products that are not

related and have geographically dispersed functions need more information than one product organisation.

- **Strategist-Related:** The strategists' experience and background affect the strategic analysis outcomes. Therefore, their age, education, knowledge, motivation level, attitudes, sense of responsibility and ability to cope with the pressures of time have a profound impact on environmental analysis. For example, forward looking and long- term oriented managers want more information than those who believe in the current status and in the short term.
- **Environment-Related:** It depends on how an organisation scans its environment. Complete scanning is required when the environment is complex, flexible, hostile, and diverse.

1.5 Environmental Scanning

Environmental scanning is the process of collecting information about events and their relationships within an organisation and outside the organisation.

1.5.1 Environmental Scanning Concept

Environmental scanning, environmental analysis, and external analysis are terms used for the process by which an organisation looks at the various environmental forces to identify potential opportunities and threats to the business. The main features of an environmental scan are the following:

- Holistic
- Exploratory
- Continuous

- **Holistic:** Environmental analysis is a complete process because it takes a complete view rather than just studying the natural forces. The analysis is divided into different parts for simplification, but at the end, the analysis of these individual parts is combined to give a complete view of the environment.

- **Exploratory:** Environmental scanning is an examination or heuristic process. It tries to estimate the future on the basis of past and current trends. The possible future alternatives are determined on the basis of various assumptions. These future alternatives are estimated to reach more logical conclusions.
- **Continuous:** Environmental analysis is a continuous process and not an occasional exercise. Continuous environmental scanning is required to identify trends. The most appropriate styles are analysed in detail to understand their impact on the organisation.

Environmental analysis plays an important role in strategic planning. In the absence of environmental analysis, no sound strategy can be developed. An organisation that analyses its own environment is better prepared than one that does not.

For example, companies like ITC, TCS, Reliance Industries Limited and others that have prioritised environmental scanning have achieved higher growth rates than others.

Example-

The PepsiCo company plans to shift its investment from producing beverages to producing healthier and functional foods using environmental scanning and market research knowledge.

They plan to collaborate with various food companies to produce healthy food and beverages by following the demand of the time as more and more people prefer healthy drinks and foods, not cold drinks, and fast food.

1.5.2 Approaches to Environmental Scanning

The following methods can be suggested to scan the environment:

- Systematic Method
- Ad Hoc Method
- Processed-form Method

- **Systematic Method:** Under this method, a more systematic process is used to collect and interpret information about the environment. It takes into account information related to the environment, markets, customers, government policies and regulations, and other matters affecting the organisation and the industry collected continuously. Organisations that are more sensitive to the environment use this approach. Data on the expected changes in the environment is collected systematically.
- **Ad Hoc Method:** Under this approach, specialised research is conducted into specific environmental problems. For example, an organisation planning to do a special project could conduct a survey to develop new strategies. The impact of unexpected environmental changes can also be investigated. Operational organisations that are less sensitive to the environment often use informal methods to scan the environment.

Processed-Form Method: The data used from various internal and external sources are used under this method. For example, data contained in government documents (People Report, etc.) may be used. The approach adopted by a particular organisation depends on the nature of the environment (stable or strong), environmental concern (low or high), the importance of the environment (the environment that is directly or indirectly suitable), etc.

1.5.3 Techniques of Environmental Scanning

Many techniques are used in environmental scanning. Some of these are described below:

- Environmental Threat and Opportunity (ETOP) Profile
 - P.E.S.T. Analysis
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- **Environmental Threat and Opportunity (ETOP) Profile:** ETOP is a very useful way to analyse the results of an environmental analysis. The ETOP, or environmental impact matrix, is a summary of environmental factors and their impact on the organisation.

The preparation of ETOP includes the following steps:

1. **Environment Selection:** Firstly, the environment for each factor is identified. Each major factor is divided into economic policies, economic indicators, market environment, etc.
 2. **Assessment of Importance:** The value of each selected item/factor is assessed in terms of quality (high, medium, low) or quantity (3, 2,1).
 3. **Impact Measurement:** The positive or negative impact of each factor is measured as opportunities and threats, respectively
 4. **Combination of Importance and Impact:** Each item's importance and impact clearly reflect the situation. ETOP can be configured in two ways: matrix form or descriptive form. In the form of a matrix, the value and impact of each natural object are expressed in quantity. In descriptive forms, the effect is shown to be positive or negative. ETOP provides a clear picture of where the organisation stands in relation to the environment. It shows the opportunities and threats an organisation can face. Such insight is instrumental in developing appropriate strategies that will help the organisation take advantage of those opportunities and address the threats in its area.
- **P.E.S.T. Analysis:** P.E.S.T. represents the political, economic, social, and technological environment. These natural forces create opportunities and threats for the organisation. Some strategists reorganise these dynamics, such as social, technical, economic, and political, and use the S.T.E.P. analysis. Each of these categories contains numerous items

The most common items are as follows:

- **Political Analysis**
 - Political system and stability
 - Business legal framework
 - Political parties and their views
 - Risk of military attacks
 - International relations
 - Law enforcement and red tape
 - Political corruption
- **Economic Analysis**
 - Economic plan

- Economic policies
- Economic indicators
- Economic markets
- Financial markets
- Industrial infrastructure
- **Social Analysis**
 - Demographics
 - Classroom structure
 - Family plan
 - Levels of education
 - Cultures, customs, and interests
 - Business spirit
- **Technical Analysis**
 - Level of technological progress
 - Technology spread rate
 - External technology transfer
 - Impact of Technology on Costs, quality, and value chain

1.6 Organisational Position

People recognise, interpret, and interact with their work environment in a variety of ways, usually in relation to their organisational positions. Designations, positions, roles, backgrounds, and behaviours of employees affect their core functions and relationship with customers (Hasenfeld, 1983). However, just as people from organisations create employees in terms of assigning positions, roles, and responsibilities to enable them to engage with fellow colleagues and customers.

1.7 Strategic Advantage Profile

The Strategic Advantage Profile (SAP) is a summary statement that offers an overview of the upside and downside of important areas that may affect the organisation's future performance. It is a tool for developing a systematic evaluation of the important strategic elements of the organisation and its environment. Formulating such a profile requires identifying and analysing factors in functional areas such as finance, accounting, human resources,

research, and development, among others. Data from sensitive areas is another important consideration here.

Every company has its distinct strong and weak areas. For example, large firms are financially strong but tend to be slower compared to smaller firms and are often less responsive to changes. No company is equally strong in all its activities. A strategist should identify a company's advantages over its competitors. When a firm is strong in the market, it has the advantage to launch new products or services and increase its market share and revenues significantly.

The following are some of the key areas of the organisation that get an advantage over strategic management.

Marketing and Distribution

The following are some of the marketing areas of the organisation that get an advantage in strategic management.

- Competitive structure and market share
- Effective and efficient market research program.
- Quality products and services.
- Copyright protection (or equivalent legal protection of services)
- Positive feelings about the firm and its products and services, on the part of the end
- buyer.

Research and Development

The following are some of the R & D areas of the organisation that get an advantage in strategic management.

- Basic research capacity is developed within the firm.
- Process design and development
- Advanced packaging development
- Well-equipped laboratories and testing facilities
- Trained and experienced professionals and scientists

Production or Operation

The following are some of an organisation's Production or Operation areas that get an advantage in strategic management.

- Product design and development
- Product quality is maintained
- Removal of old plant and machine

Finance or Accounting

The following are some of an organisation's Finance or Accounting areas that get an advantage in strategic management.

- Tax calculation
- Costing and Financing
- Effective Budget preparation and utilisation

Human Resource Planning and Corporate Planning

The following are some of an organisation's Human Resource and Corporate Planning areas that get an advantage in strategic management.

- Motivation of the employees
- Maintaining employee, employer relationship
- Retention of employees
- Effective delegation of authority and responsibility.

1.8 Strategic Management Model

The strategic management model identifies strategic ideas and the elements needed to develop a strategy that enables the organisation to achieve its goals. Historically, many frameworks and advanced models have proposed various common methods of strategic decision-making. However, a review of the major strategic management models shows that they all include the following:

- Perform environmental analysis.
- Establish organisational direction.

- Develop organisational strategies.
- Implement the organisational strategies.
- Evaluate and control strategies.

The above five processes can be comprised of three heads, namely:

- strategic planning
- strategic implementation
- strategic evaluation and control

Figure 1 shows the components and elements of a strategic management model. Building a strategic management model is important as it provides a basic framework for understanding how strategic management can be implemented in a robust way. In addition, the strategic management model gives managers and strategists a greater understanding of the repetitive approach to effective strategic management in the organisational structure.

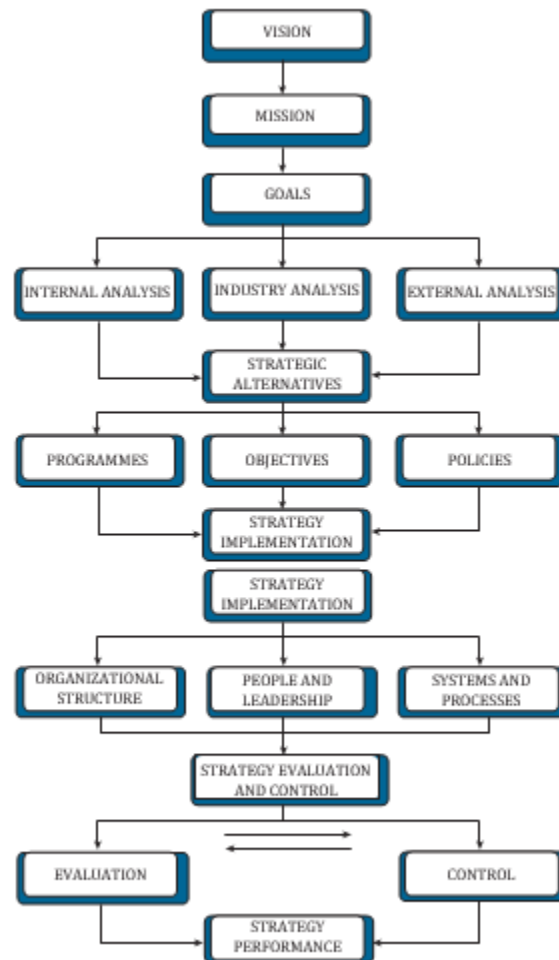


Fig 1: Strategic Management Model

Source: <https://ceopedia.org>

Figure 1 shows that the strategic management model begins with the formation of the vision and mission of the organisation. The organisation's vision and mission will then be translated into the organisation's goals. These indicate the direction and areas of concern to be attained by the organisation. Once these have been identified, the role of the manager or strategist is to analyse the organisation. This includes three major types of analysis, namely, external environmental analysis, internal organisational analysis, and then

industry analysis. Each of these analyses will provide information on opportunities and threats, strengths, and weaknesses, and help the organisation position itself at the level of other competing organisations in the industry.

Therefore, the results of this analysis will help managers and strategists align with the niche areas to focus on and identify the organisation's unique strengths. The analysis will help determine the steps the organisation should take to maintain its competitiveness in the industry and, above all, select appropriate strategies.

To implement the strategy, the organisation must ensure appropriate resources are available. The goals of the organisation must be defined till the lowest level of the organisation and translated into objectives, which are clearer and more specific than the goals set initially by the organisation. Organisational policies need to be developed and implemented. Thereafter, specific plans or action plans should be put in place. The implementation of a strategy needs the required key elements to be in place. This includes ensuring that the organisation has the right structure, people and leadership needed to manage the implementation of the chosen strategy.

Finally, implementation also requires managers or strategists to coordinate and integrate the various functional areas in the organisation. This way, the multi-skilled management systems and processes stay aligned with the organisation's goals. The final part of the strategic management model consists of strategic evaluation and control. Strategists must ensure that the strategy used is properly reviewed and updated at fixed intervals. Say, half-yearly or quarterly. The expected performance is measured based on the industry or the business's standards to attain the objectives of the organisation. Comparisons should be made with competitors and others. Control measures should be put in place so that organisations can ensure that the desired targets can be achieved in the next phase of implementation as well.

1.9 Summary

Let us recapitulate the important concepts discussed in this topic:

- Strategic analysis refers to the process of doing research in a company of its work environment to develop a strategy.
- Strategic analysis is important for a company to achieve its goals and purpose.
- A business environment includes all external factors that may affect the whole organisation or part of it.
- Systematic, ad hoc, and processed-form methods are various approaches adopted for environmental scanning.
- Environmental analysis is a complete process because it requires a more holistic view rather than those of natural forces.
- Environmental Threat and Opportunity (ETOP) Profile and P.E.S.T. analysis are popular techniques used for environmental scanning.
- Strategic Advantage Profile (SAP) is a summary statement which provides an overview of the pros and cons of key areas that may affect a company's future performance.
- The strategic management model identifies strategic ideas and the elements needed
- to develop a strategy that enables the organisation to achieve its goal.
- The strategic management model consists of three components, namely, strategic planning, strategic implementation, and strategic evaluation and control.

1.10 Glossary

Let us have an overview of the important terms mentioned in the topic:

- **Economic Analysis:** It refers to the analysis of economic plans, economic policies, economic indicators, economic markets, financial markets, and industrial infrastructure.
- **ETOP:** Environmental Threat and Opportunity (ETOP) is a technique to analyse the results of an environmental analysis. The ETOP or environmental impact matrix is a summary of environmental factors and their impact on the organisation.
- **Macro Environment:** The macro environment is also known as a natural and remote environment. Macro features are usually less manageable

than smaller natural features. A company's success depends on its adaptability to the changes in its environment.

- **Microenvironment:** The microenvironment is the factor that directly affects a company's operations and is more closely linked to the company than bigger factors.
- **P.E.S.T. Analysis:** P.E.S.T. represents the political, economic, social, and technological environment. These natural forces create opportunities and threats to an organisation.
- **Political Analysis:** It is the analysis of the political system and stability, business legal framework, political parties and their views, risk of military attacks, international relations, law enforcement and red tape, and political corruption.
- **Social Analysis:** It is the analysis of demographics, classroom structure, family plan, levels of education, cultures, customs, and business spirit.
- **Strategic Advantage Profile:** Strategic Advantage Profile (SAP) is a summary statement which provides an overview of the pros and cons of key areas that may affect a company's future performance, and the five functional areas are Research and Development, and Engineering, Production or Operation, Finance or Accounting, Human Resource Planning and Corporate Planning.
- **Strategic Analysis:** It can be defined as the process of researching the business environment of an organisation in which business is conducted.
- **Strategic Management Model:** Identifies the strategic ideas and the elements needed to develop a strategy that enables an organisation to achieve its goals.
- **Technical Analysis:** It is the analysis of the levels of technological progress, technology spread rate, external technology transfer, and the impact of technology on costs, quality, and value chain.

_____ is broad-based and seeks to create an image of the company, basis its core values.

Ans: Mission

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